FERROM GAS — ANNUAL FINANCIAL DISCLOSURE (EXCERPT)

Excerpt from the annual financial disclosure of Ferrom Gas, prepared at the request of the Office of the Attorney General of the State of Arden. Figures are for the most recent completed financial year and are stated in millions of United States dollars.

1. Business and organisation

Ferrom Gas is a publicly traded company organised under the laws of Texas. It employs approximately 1,997 persons across 7 states and reports through the segments set out below. The company's registered agent in Arden is Arden Agent Services, Inc..

2. Revenue by segment

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Natural gas marketing	5,607	60.6	yes
Gas gathering and sales	3,293	35.6	yes
Pipeline capacity resale	238	2.6	no
Corporate	112	1.2	no
Total revenue	9,250	100.0	

Revenue from sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, comprises the segments marked above and totalled $8,900M for the year. Revenue from all segments totalled $9,250M. In the preceding year the corresponding proportion was 88.6%.

3. Capital expenditure and depreciation

Capital expenditure was $577.2M, of which 54.2% was directed to maintenance of existing assets. Depreciation, depletion and amortisation was $186.9M. The company recorded an impairment of $58.0M in respect of two idled terminals.

4. Commodity price risk and hedging

The company hedged approximately 33.1% of anticipated production or purchase volumes for the coming year. The notional value of open derivative positions at year end was $987.9M. A hypothetical ten per cent adverse movement in benchmark prices would have reduced pre-tax earnings by $80.5M.

5. Workforce, safety and environmental compliance

The recordable injury rate was 1.66 per two hundred thousand hours worked. The company reported 7 notices of violation across all jurisdictions and paid civil penalties of $3.1M. Voluntary turnover was 10.1%.

6. Legal proceedings

The company is party to 29 proceedings arising in the ordinary course of business. Management does not consider any of them, individually or in the aggregate, likely to have a material adverse effect. Amounts accrued in respect of loss contingencies were $31.7M.

7. Revenue by geography

Revenue is attributed to the jurisdiction in which title passes. 62.7% of revenue arose in the company's three largest states of operation. Arden accounted for 4.6% of revenue. No single customer accounted for more than 13.8% of revenue. The company holds operating permits in 11 states and one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	2,268.6	27.1	478
Mid-Atlantic and north east	1,528.6	21.9	538
Midwest	1,344.2	18.0	172
West and mountain	675.3	14.2	105
All other, including Arden	786.7	7.4	90

Regional figures are management's allocation and are rounded; they are not a segment disclosure and do not sum to total revenue.

8. Contractual commitments and off-balance-sheet arrangements

Purchase obligations under take-or-pay and transportation contracts were $799.6M, of which $666.2M falls due within one year. Operating lease commitments were $228.3M. The company has issued surety bonds and letters of credit of $177.7M, principally in respect of decommissioning and of state fuel tax obligations. There are no off-balance-sheet financing arrangements other than those described.

9. Income taxes

The effective rate was 25.9%, against a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (2.1 points), depletion allowances (2.1 points adverse to the reconciliation), and the resolution of an examination for years 2018 to 2022. Unrecognised tax benefits were $35.4M. The company is under examination in 7 states; Arden is not among them.

10. Related-party transactions

Sales to entities in which a director or officer holds an interest of ten per cent or more were $14.8M, on terms management believes to be no less favourable than those available from unrelated parties. The company leases office space from a partnership in which two officers hold interests.

11. Critical accounting estimates

The estimates management considers critical are the recognition of revenue on contracts with variable consideration, the assessment of asset retirement obligations (discount rate 5.9%, expected settlement over 23 years), the recoverability of long-lived assets, and the valuation of open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $4.8M.

12. Five-year selected financial data

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	7,917.6	7,967.2	7,317.7	6,899.9	9,250
Revenue from Fossil Fuel Products ($M)	6,889.3	6,458.3	5,973.4	6,113.2	8,900
Capital expenditure ($M)	487.6	568.6	568.2	552.2	577.2
Employees (000)	1.9	2.0	2.0	2.1	2.1

Prior-year figures are as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Subsequent events

On 24 June the company announced the retirement of its chief financial officer for consideration of $51.7M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions

Distributions to holders were $226.2M, representing 33.7% of distributable cash flow. The board has not adopted a fixed distribution policy.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.